



Lesson 14 – Part 1

- Sale of Completed Private Properties
- Collective Sale of Properties
- Foreign Worker Housing

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

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Concept of “Caveat Emptor” → “**Let the Buyer Beware**” = Disclaimer

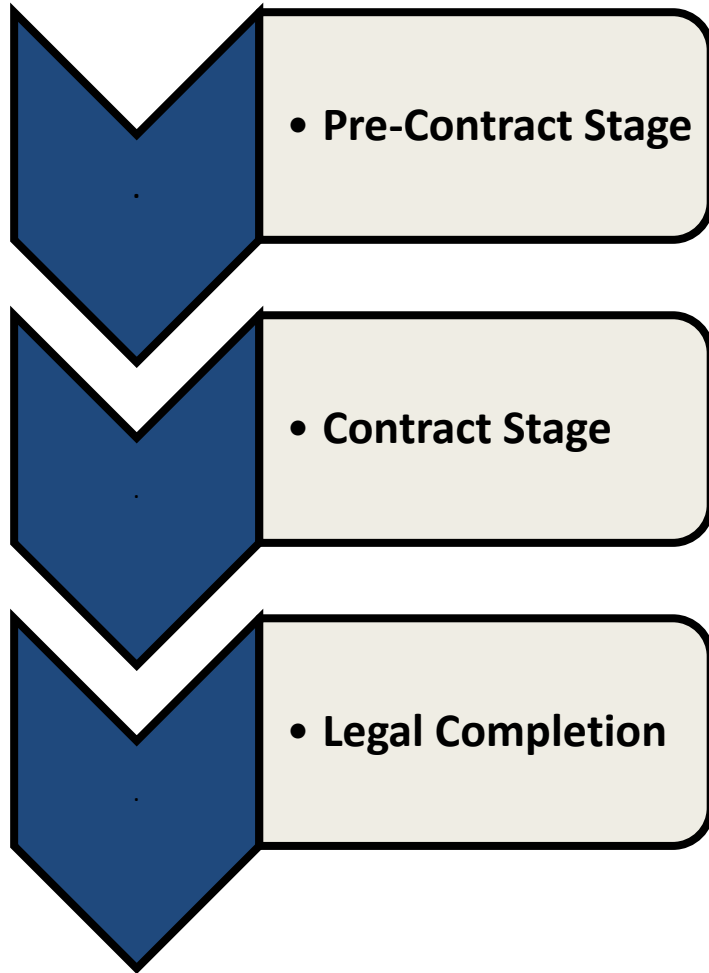


1. Usually, this concept is applied _____ property
2. Under the principle of caveat emptor, the buyer could not recover damages from the seller for defects on the property that rendered the property unfit for ordinary purposes.
3. This principle puts the risks and burdens of a transaction on the buyer, and it is the **buyer's duty** to do his due diligence and checks on defects when deciding whether to go ahead with the transaction.
4. Seller is under no duty to disclose to Buyer any **patent or latent** defect which may affect the value of the property. Buyer takes the property in its current condition.
5. Generally OTP/S&P incorporated “**As Is Where Is**” clause or Law Society Condition of Sales 2020 – Clause 5 (Lesson 5-6).

Concept of “Caveat Emptor” → “**Let the Buyer Beware**” = Disclaimer

6. Defects of quality are defects relating to the property’s physical condition. These defects can be patent or latent in nature:
7. **Patent defects** are defects that can be discovered if a buyer were to exercise ordinary vigilance when inspecting the property. **Examples of patent defects of quality include easily noticeable defects such as chips on the wall and water leakage.**
8. **Latent defects** are defects which are unlikely to be discovered during inspection, even if the buyer had exercised ordinary vigilance. **Examples of latent defects of quality could consist of unnoticeable structural defects, such as internal cracks in the pillars.**
9. The **only exception** was if the **seller or his agent** actively concealed latent defects or otherwise made material misrepresentations amounting to fraud.
10. Law requires seller to disclose **latent defects of title**. (defects which despite exercising reasonable care, are not apparent or cannot be discovered on inspecting the property).

Stages of Sale & Purchase of Resale Properties (Residential, Commercial or Industrial)



Buyer pays Option Fee (usually 1%) in exchange for OTP from seller



Buyer usually given 14 days (Option Period) to exercise OTP. During the Option Period, seller is not allowed to sell the property to another.



If buyer does not exercise option, Option Fee is forfeited by seller and neither party shall have any claim against each other. Seller is then free to sell the property to another buyer.



Buyer exercises OTP by paying (usually 4% / 9%) Exercise Fee and signing the Acceptance Copy in the OTP.



Buyer's lawyer will send the exercised OTP together with the exercising fee to Seller's lawyer before due date.

Option To Purchase (Pre-Contract Stage)

The amount paid by the buyer to exercise is held by stakeholder

1. Seller's Lawyer or
2. Singapore Academy of Law



Contract Stage



Completion

Option To Purchase (Pre-Contract Stage)



Recall:

Conveyancing & Law Property Act (Covered in Paper 1)

Conveyancing & Law of Property (Conveyancing) Rules 2011 (Covered in Lesson 10)

1. Conveyancing money refers to money for the purchase, sale and lease of land. It includes:
 - Option deposit
 - Balance purchase price
 - CPF money
 - Stamp Duties
 - Payment to JTC, IRAS, SLA etc.
 - Payment to Developer, Seller, Buyer, Landlord, Tenant, Licensor, Licensee etc.
 - Payment to Bank
 - Security Deposit
 - Goods and services tax (if any) payable
2. Deposit conveyancing money in
 - a) Special conveyancing accounts held with appointed banks
 - b) Singapore Academy of Law

Withdrawal of conveyancing money requires **two lawyers** signatures

3. These Rules allow solicitors to use jointly managed escrow accounts to hold conveyancing money for complex commercial transactions.

Agreement For Sale & Purchase (Contract Stage)

1. Buyer's lawyer will lodge a caveat with SLA to protect buyer's interest
2. Buyer's lawyer will make title searches and legal requisitions on the property. Legal requisitions are usually made to the following Government Authorities:
 - i. Inland Revenue Authority of Singapore (IRAS)
 - ii. Land Transport Authority (LTA) – Rapid Transit System
 - iii. Land Transport Authority (LTA) – Street Works
 - iv. National Environmental Agency (NEA) – Environmental Health Department
 - v. National Environmental Agency (NEA) – Pollution Control Department
 - vi. Public Utilities Board (PUB) – Sewerage Department
 - vii. Building and Construction Authority (BCA)
 - viii. Urban Redevelopment Authority (URA)
3. Legal requisitions are usually made to inquire about **encumbrances** on a property.
4. Buyer's lawyer will make legal requisitions by writing to relevant government departments to obtain replies. **Note: Unsatisfactory legal requisition entitled to rescind a sale.**

Example Case:

Soon Nam Thoong & Anor vs. Phang Song Hua, July 2011

** 2 Storey shophouse affected by LTA's road line plan.

Legal Completion

1. Buyer's lawyer prepare draft transfer
2. Seller's lawyer will prepare completion statement.

Example

Sales Price

- Loan
- CPF Proceeds
- Solicitor Fees
- Property Tax
- MCST Fee
- Agent's Commission

Net Sales Proceeds

3. Seller delivers keys to his lawyer who will hand them to the buyer's lawyer
4. On completion date, the balance sales proceeds will be issued to Seller.
Buyer picks up the keys from his lawyer
5. Buyer's lawyer will thereupon complete the transfer and register the buyer's interest in the Land Registry.



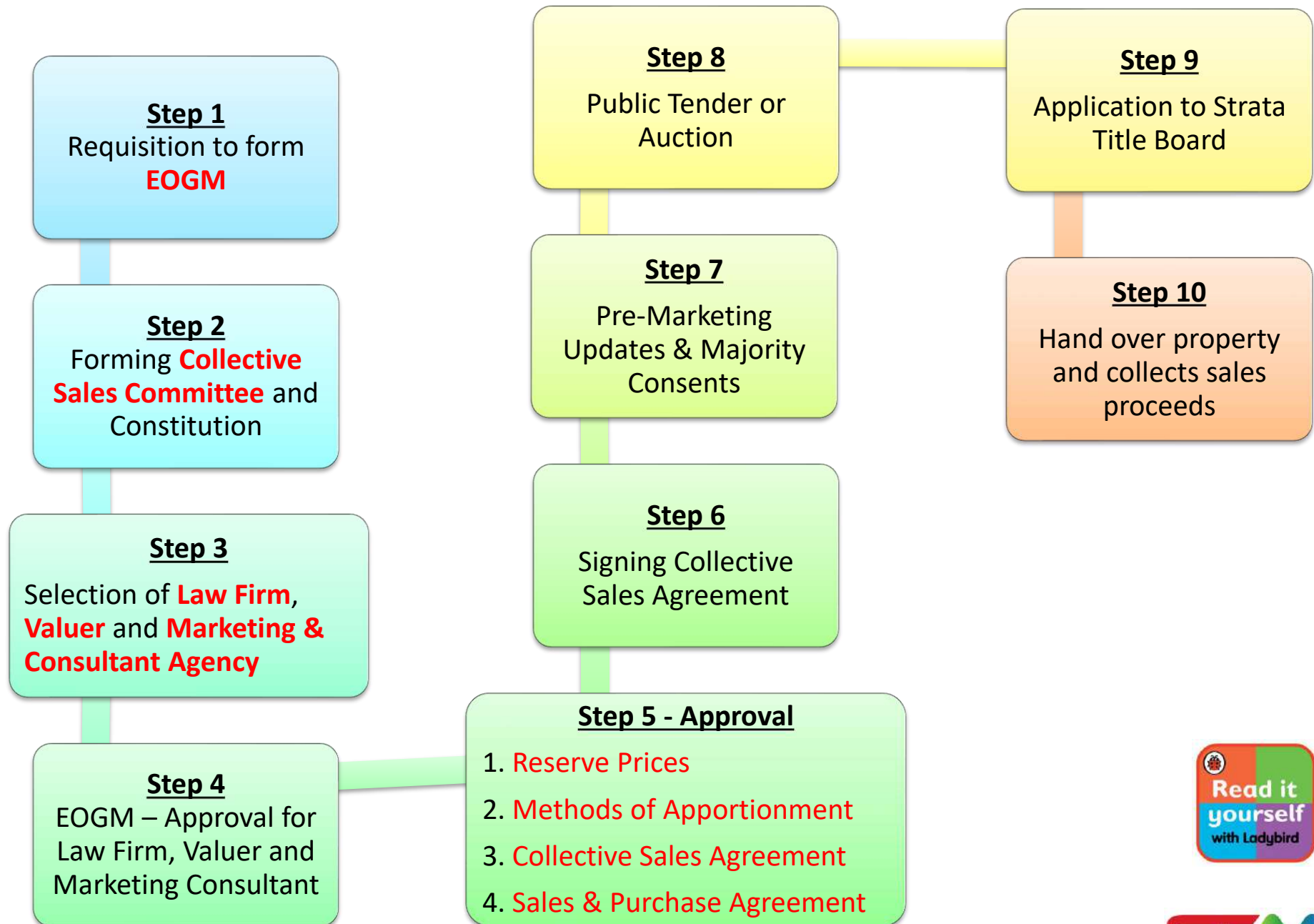
Lesson 14 – Part 2

Collective Sales of Property – “Enbloc Sales”

- **Land Title Strata Act**

SEAA has made reasonable efforts to ensure that the information provided in our handouts/notes is accurate at the time of print. Any solutions will not be given to students who missed classes.

Simple Process of Collective Sale of Private Properties



Step 1: Convening of Extra Ordinary General Meeting on Requisition

- 1. Management Corporation convened a general meeting
- 2. On receipt of requisition signed by persons holding at least
X (%) of aggregate Share Values or **Y (%) of total number of Subsidiary Proprietors**

Attempts	X	Y
1 st attempt	20%	25%
2 nd attempt within 2 years of previous failed attempt	50%	50%
Subsequent attempts within the 2 years.	80%	80%

Failed Attempt in Enbloc Sales

What Constitutes “Failed Attempt” at Collective Sale ?

- 1. **Quorum** is **not present** at a general meeting to make up a Collective Sales Committee
- 2. Motion for the constitution of a CSC is defeated at the general meeting
- 3. **Dissolution** of Collective Sales Committee
- 4. Collective Sales Agreement **expires**
Example - Collective Sales Agreement is not executed within 12 months of the first signature.
- 5. Every Collective Sales Committee Member had removed from office and no other replacement CSC is formed

Examples - Failed Attempt

Lakepoint condo S\$640m en bloc tender closes without bids

WED, JUN 08, 2022 - 7:24 PM | UPDATED WED, JUN 08, 2022 - 7:24 PM

CORINNE KERK ✉ corinne@sph.com.sg



This is the latest sale attempt by the owners of the 86-year leasehold Jurong condominium. The previous tender had also closed without a bid on Dec 22, 2021, propnex

Lakepoint Condominium closed its collective sale tender without bids and is now entering into private treaty negotiations with interested parties, said exclusive marketing agency PropNex. Details in a statement on Monday (June 6).

BREAKING NEWS

cna Top Stories Latest News Discover Singapore Asia

SATURDAY, MAY 3, 2008

Mandarin Gardens' Management Panel Steps Down Over Enbloc Disputes

Source : Channel NewsAsia, 02 May 2008

Enbloc sales woes and unhappiness at Mandarin Gardens have left the condominium without a management committee for the past week.

The previous committee refused to be re-nominated for election at its Annual General Meeting last Sunday.

Since then, no one is taking charge of the day-to-day management at the condominium on Siglap Road.

Channel NewsAsia understands that the entire management committee stepped down because of disputes with the estate's enbloc sales committee.

Apparently, the enbloc sales committee pushed through resolutions which are unfavourable to the entire estate, through its control of proxy votes.

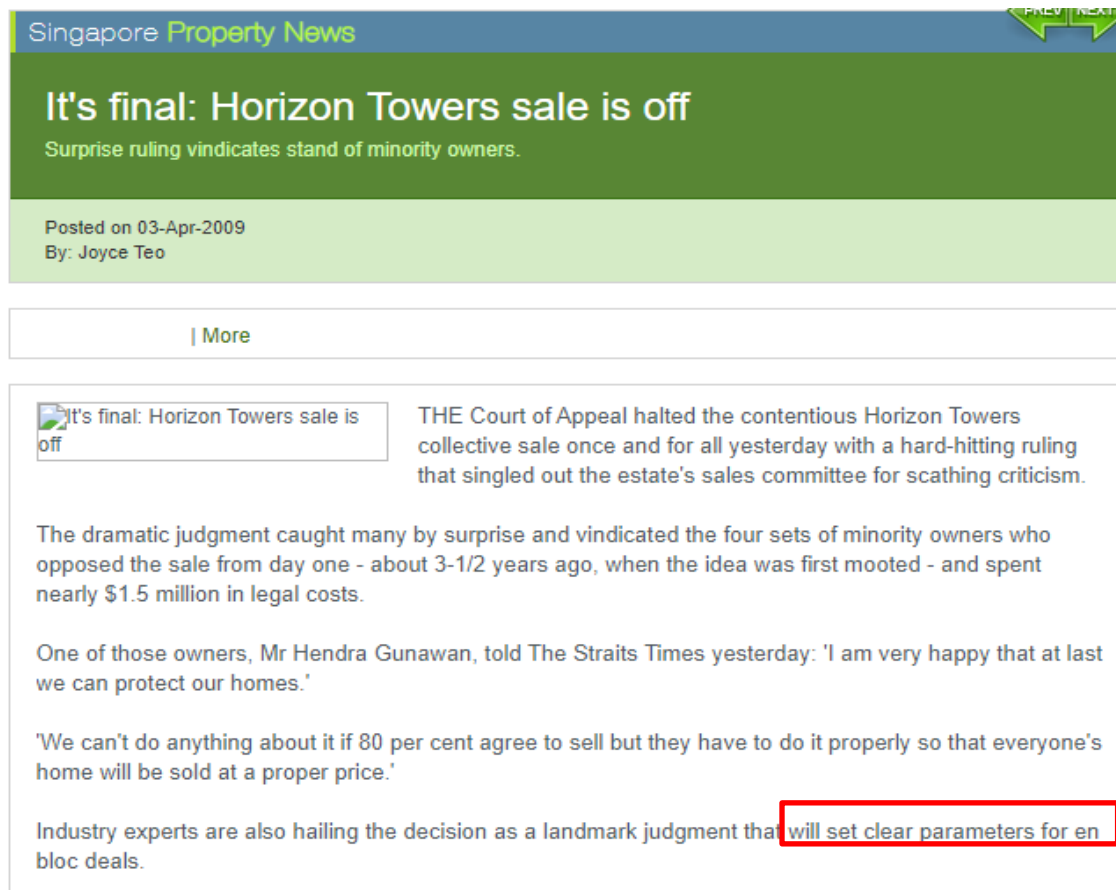
When contacted, the Strata Titles Board said such cases are rare, but it is unable to do anything at this point.

Under the law, all residents are jointly responsible for any liabilities incurred by the condominium during this period. - CNA/ms

Posted by Richard Yeo at 11:02 AM

Step 2: Forming Collective Sale Committee

1. Formed at a General Meeting
2. Collective Sales Committee must have 3 to 14 members
3. Each member must be a natural person (**undischarged bankrupt**) at least 21 years old and is
 - a) **Subsidiary Proprietor** or
 - b) **Company representative** (company is subsidiary proprietor) or
 - c) Immediate family member of a subsidiary proprietor
4. Prior elected, Member **must declare** any **conflict / potential conflict of interest at the general meeting.**



Singapore **Property News**

It's final: Horizon Towers sale is off

Surprise ruling vindicates stand of minority owners.

Posted on 03-Apr-2009
By: Joyce Teo

[More](#)

 It's final: Horizon Towers sale is off

THE Court of Appeal halted the contentious Horizon Towers collective sale once and for all yesterday with a hard-hitting ruling that singled out the estate's sales committee for scathing criticism.

The dramatic judgment caught many by surprise and vindicated the four sets of minority owners who opposed the sale from day one - about 3-1/2 years ago, when the idea was first mooted - and spent nearly \$1.5 million in legal costs.

One of those owners, Mr Hendra Gunawan, told The Straits Times yesterday: 'I am very happy that at last we can protect our homes.'

'We can't do anything about it if 80 per cent agree to sell but they have to do it properly so that everyone's home will be sold at a proper price.'

Industry experts are also hailing the decision as a landmark judgment that **will set clear parameters for en bloc deals.**

Step 3 & 4: Selection and Appointments of Professionals / Firms

1. Collective Sale Committee shortlist and select
 - a) Law Firm → Draft Collective Sale Agreement
 - b) Valuer Firm
 - c) Marketing & Consultant Agency
2. Final Selection must be approved in EOGM

Step 5: Approval on Collective Sale Matters

The Committee shall recommend:

1. **Final Reserve Price**
2. Apportionment of Sale Proceeds:
 - a) **Share Values** or
 - b) **Strata Area** or
 - c) **Valuation** or
 - d) Any combination of any 3 methods
3. Terms and Conditions of Collective Sale Agreement
4. Approval shall be made in EOGM

Step 6 & 7: Collective Sale Agreement and Majority of Subsidiary Proprietors Consent

Majority Subsidiary Proprietors agreed in writing to sell if:

1. Strata Title Development **< 10 years**

- Subsidiary Proprietors with **90%** of **share value and total strata area** consents OR

Strata Title Development **≥ 10 years**

- Subsidiary Proprietors with **80%** of **share value and total strata area** consents

2. The requisite majority consent must be obtained within **one (1) year** before the sale attempt can proceed further.

a) **1st signature** secured on the Collective Sales Agreement within **12 months** from the date the Sales Committee is constituted. Sales Committee is automatically dissolved otherwise.

b) **Requisite majority** must sign the agreement **within 12 months** after the **1st signature**.

c) Subsidiary Proprietor can **rescind** agreement within a **5 days cooling-off period**.

3. Lawyer must be present to witness the signing of agreement

4. Updated **every 4 weeks** on the number and percentage of flat owners who have signed the CSA

5. Collective Sale Committee must convene a meeting **at least 7 days' notice before meeting** —

- a) to give an update on the total number of subsidiary proprietors who have signed the collective sale agreement; and
- b) to provide information on the sale proposal and the sale process.

Example - Obtaining 80% agreement – Unethical Ways



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Property firm fined, barred for breaching en bloc rules

By LEE YEN NEE



The collective sale of Thomson View Condominium was brought to the High Court in 2013 after minority homeowners objected to the deal even though the third attempt received a bid of S\$590 million from Wee Hur-Lucrum, or about S\$10 million above the indicative price. Photo: Screenshot from Google Maps

Published 17 MAY, 2016 UPDATED 18 MAY, 2016



HSR ordered to pay penalty of S\$74,000 for offering incentives to Thomson View homeowners

SINGAPORE — In an unprecedented move, the Council for Estate Agencies (CEA) has fined

THE STRAITS TIMES SINGAPORE

Court slams \$200k inducement, refuses to clear en bloc sale

This story was first published in The Straits Times on April 10, 2013

K.C. Vijayan, Senior Law Correspondent

PUBLISHED APR 12, 2013, 5:30 AM SGT



THE High Court has slammed an en bloc sales committee and its marketing agent for offering a \$200,000 inducement to a couple to join the collective sale of their residential block.

The consent from flat owners Han Min Juan and Jee Ming Tu would have enabled the requisite 80 per cent majority to be crossed for Harbour View Gardens in Pasir Panjang Road to be sold to a property developer.

Justice Belinda Ang refused to allow the sale to proceed and said the collective sale committee (CSC) involved had failed to act in good faith while the marketing agent's conduct was "commercially unacceptable".

The test case is significant in clarifying the circumstances in which incentive payments are allowed.

Justice Ang added in judgment grounds released yesterday that the committee "did not act in a transparent manner" and had furthered the interests of the majority owners to the prejudice of the dissenting minority owners.

The 14 units of freehold three- storey walk-up apartments had been sold to RH West Coast for \$33 million last year subject to clearance for the sale.

Step 8: Public Tender

After the **close** of public tender or public auction, the collective sale committee must convene a meeting which at least **7 days' notice** is given —

- a) to provide information on the **number of offers received** and the **respective prices offered**; and
- b) to provide information on the terms and conditions of the sale and purchase agreement

Step 9: Strata Title Board

1. Sales Committee apply Sale Application to STB (**within 12 months** of obtaining the requisite majority)
 - a) Subsidiary Proprietors to be notified of STB application by registered post.
 - b) Objections must file within **21 days**.
2. STB issue an Order before collective sale can take place.
3. If there is an objection, STB would mediate and assist parties to resolve the dispute. If dispute cannot be successfully resolved within **60 days**, STB will issue a Stop Order.
4. Sales Committee has **14 days** to apply to the High Court to hear the case.

Siblings owning 2 units file objections to City Towers sale

© FRI, JAN 04, 2019 - 5:50 AM

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Singapore

IF a pair of siblings have their way, the collective sale of City Towers, sold last February to a unit linked to Hong Kong tycoon Li Ka-shing for S\$401.9 million, will not go through.

The brother and sister, who own two units at the freehold residential development along...

Court gives go-ahead for Albracca en bloc sale

One owner had objected to the deal and case went to court after Strata Title Board mediation failed

© SAT, JUL 28, 2018 - 5:50 AM

YUNITA ONG ✉ btnews@sph.com.sg 🐦 [@YunitaOngBT](https://twitter.com/YunitaOngBT)



Sustained Land bought the 11-unit project at Meyer Road for S\$69.1 million a year ago.

Singapore

THE ALBRACCA condo at Meyer Road was granted a sale order by the High Court on Friday afternoon, following proceedings last month to decide on the fate of its collective sale.

The 11-unit development was sold for S\$69.1 million to Sustained...

Step 9 - Application to Strata Title Board

5. STB can stop enbloc sale if transaction was not conducted in good faith based on any of the following factors:
 - a) Sale price of development
 - b) Method of distributing the proceeds of sale
 - c) Relationship of purchaser to any of the subsidiary proprietors
 - d) If the sale and purchase agreement requires an owner (who do not agree to collective sale) to be a party to an arrangement for future development
6. In the event the Board approves the en-bloc application and **issues an en-bloc sale order**, the order is binding on all the unit and land owners of the development. **All unit owners must sell their units to the purchaser in accordance with the sale and purchase agreement.**

Tempers fray over bid to sell Pine Grove en bloc



The 660-unit Pine Grove near Ulu Pandan Road, a 99-year lease former HUDC estate, is in the midst of collecting signatures for the 80 per cent mandate needed for the sale to go ahead. ST FILE PHOTO PHOTO

🕒 PUBLISHED NOV 30, 2017, 5:00 AM SGT



Heated meetings, threats, a lawsuit beset condo owners' third attempt to sell estate

Rachel Au-Yong Housing Correspondent ✉

An ongoing attempt to sell Pine Grove condominium en bloc has turned ugly with residents reporting heated meetings, residents forming factions and a lawsuit pitting the chairman of

Housing for Foreign Worker with Work Permit

SINGAPORE
cna Nearly 500 private addresses falsely registered as foreign workers' home addresses since December

By Aqil Haziq Mahmud
@AqilHaziqCNA

02 May 2019 01:48 PM
(Updated: 02 May 2019 10:30 PM)



Bookmark



Singapore

Nearly 500 private addresses falsely registered as foreign workers' home addresses since December



There have been nearly 500 reports of private addresses being falsely registered as foreign workers' home addresses in the past five months, the Ministry of Manpower (MOM) said on Thursday (May 2).

SINGAPORE: There have been nearly 500 reports of private addresses being falsely registered as foreign workers' home addresses in the past five months, the Ministry of Manpower (MOM) said on Thursday (May 2).

Employer's responsibilities

1. Employment of the Foreign Manpower Act (EFMA)
2. Employers must ensure that their foreign workers live in proper housing and **provide the workers' residential addresses to MOM.**
3. For work permit applications and renewals: **Register before work permit issuance.**
4. For changes in your foreign workers' place of residence: Update within **5 days of any changes in residential addresses.**
5. Converted Premises must meet statutory requirements fire and structural safety
6. Must meet Environmental Health and Drainage & sanitary/sewerage

Approved Workers Accommodation



Purpose Built Dormitories (Commercially Operated Dormitories)

What are PBDs	PBDs are specially designed and built with features to meet the needs of foreign employees: • Amenities, e.g. minimarts, dedicated cooking areas, etc. • Services, e.g. laundry, remittance, etc. • Recreational facilities, e.g. gym, outdoor games courts, etc.
Allowed to house	All foreign employees.

Factory Converted Dormitories (Converted Industrial Premises)

What are FCDs	Industrial or warehouse developments which have been partially converted to dormitories.
Allowed to house	All foreign employees.

Construction Temporary Quarters: Standalone Temporary Quarters

What are Standalone Temporary Quarters	Any structure used for housing employees within a construction site that will eventually be demolished or removed.
Allowed to house	Foreign employees working in the construction sector only.

Construction Temporary Quarters: Quarters in Building under Construction

What are Quarters in Buildings under Construction	They are parts of buildings still under construction that are used for employees' quarters.
Allowed to house	Foreign employees working in the construction sector only.

Approved Workers Accommodation



Temporary Occupation Licenses Quarters

What are TOL quarters	TOLs are temporary occupation licences issued by Government Agency (or their managing agents) owning the land. They allow employers to establish temporary quarters on a plot of land that is typically near a construction site to support a specific project. TOL quarters can be: •Pre-fabricated temporary buildings. •Refurnished buildings.
Allowed to house	Foreign employees working in the construction sector only.

Private Residential Properties

What are PRPs	Private properties such as condominiums, landed residential properties, terrace houses, semi-detached houses, bungalows, residential units in shop houses, etc.
Allowed to house	All foreign employees

HDB Flat Properties

Shall discuss in HDB Topics

Examples - Commercially Operated Dormitories

